Playbook: Confidentiality

NORTHWIND SYSTEMS INTERNAL LEGAL PLAYBOOK ## SECTION 4: CONFIDENTIALITY AND NON-DISCLOSURE STANDARDS Document Version: 4.2 Effective Date: January 15, 2024 Applies To: Commercial Legal Team (Sarah Vance, Marcus Chen, Elena Rostova)

4.1 Preferred Northwind Position (Model Clause Language)

When drafting or negotiating standalone Non-Disclosure Agreements (NDAs) or the confidentiality provisions within Master Subscription Agreements (MSAs), attorneys must utilize the following model text as the baseline. Any deviation requires adherence to the fallback and escalation rules set forth below.

> Section 4.1(a) Definition of Confidential Information. "Confidential Information" means all non-public information disclosed by one party ("Disclosing Party") to the other party ("Receiving Party"), whether orally, visually, or in writing, that is designated as confidential or that reasonably should be understood to be confidential given the nature of the information and the circumstances of disclosure. Northwind Confidential Information includes, without limitation, the Northwind SaaS Platform, API structures, source code, documentation, pricing methodology, product roadmaps, and customer lists.
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> Section 4.1(b) Exclusions. Confidential Information does not include information that: (i) is or becomes generally known to the public without breach of this Agreement by the Receiving Party; (ii) was known to the Receiving Party prior to disclosure without confidentiality restrictions; (iii) is independently developed by the Receiving Party without reference to or use of the Disclosing Party’s Confidential Information; or (iv) is rightfully received from a third party without a duty of confidentiality.
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> Section 4.1(c) Standard of Care and Permitted Use. The Receiving Party shall hold the Disclosing Party’s Confidential Information in strict confidence, using the same degree of care it uses to protect its own confidential information of like nature, but no less than a reasonable degree of care. The Receiving Party shall use the Disclosing Party’s Confidential Information solely to exercise its rights and perform its obligations under this Agreement.
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> Section 4.1(d) Permitted Disclosures. The Receiving Party may disclose Confidential Information to its directors, officers, employees, legal counsel, accountants, and financing sources ("Representatives") who need to know such information for the performance of this Agreement, provided that such Representatives are bound by confidentiality obligations at least as restrictive as those contained herein. The Receiving Party remains liable for any breach of this Section by its Representatives.
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> Section 4.1(e) Compelled Disclosure. If the Receiving Party is legally compelled by subpoena, court order, or regulatory demand to disclose any Confidential Information, it shall provide Northwind with prompt written notice of at least ten (10) business days prior to disclosure (where legally permissible) to enable Northwind to seek a protective order or other appropriate remedy.
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> Section 4.1(f) Term and Survival. The obligations under this Section 4 shall commence on the Effective Date and shall continue for a period of five (5) years following the termination or expiration of this Agreement, except that trade secrets shall be protected for as long as they retain trade secret status under applicable law.
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> Section 4.1(g) Return or Destruction. Upon termination of this Agreement or upon written request, the Receiving Party shall promptly return or permanently destroy all tangible and electronic copies of the Disclosing Party’s Confidential Information, provided that the Receiving Party may retain archival copies maintained pursuant to automated disaster recovery backup systems or mandatory regulatory

compliance policies, subject to continued adherence to this Section 4.

4.2 Fallback Position

Attorneys are authorized to drop to the fallback position without escalation only if the counterparty rejects the preferred position and negotiations stall.

* Mutual Term Reduction: The survival period under Section 4.1(f) may be reduced from five (5) years to three (3) years post-termination, provided trade secrets remain protected indefinitely.
* Notice Period Adjustment: The compelled disclosure notice period under Section 4.1(e) may be reduced from ten (10) business days to five (5) business days, provided the clause explicitly states "prompt written notice prior to disclosure."
* Destruction Certification: Accept a provision allowing the destruction of Confidential Information to be certified in writing by an officer of the company within thirty (30) days of termination, rather than requiring immediate deletion, to accommodate standard IT archiving cycles.

4.3 Walk-Away Position

Attorneys must terminate negotiations and escalate to the General Counsel if the counterparty insists on any of the following terms, as they present unacceptable risk to Northwind's intellectual property and business operations:

1. Indefinite Survival: Demanding a survival period exceeding five (5) years for general Confidential Information (excluding trade secrets).
2. Unilateral One-Way Terms: Attempting to impose a confidentiality obligation on Northwind while exempting the counterparty from reciprocal protections for Northwind's proprietary platform data.
3. Audit Rights: Requiring the right to audit Northwind’s internal systems, facilities, or personnel to verify compliance with confidentiality obligations.
4. Ownership Claims: Asserting ownership over feedback, usage analytics, or derived data generated through the counterparty's use of the Northwind SaaS Platform.

4.4 Numeric and Categorical Thresholds

The following thresholds are absolute and non-negotiable within the fallback parameters:

* Threshold 1 (Survival Period Cap): Maximum allowable survival period for general Confidential Information is five (5) years post-termination.
* Threshold 2 (Compelled Disclosure Notice Floor): Minimum required notice period for legal or regulatory disclosure is five (5) business days (Preferred: 10 business days).
* Threshold 3 (Cure Period for Breach): The cure period for any alleged breach of confidentiality before termination of the underlying commercial agreement is fifteen (15) days from receipt of written notice.
* Threshold 4 (Monetary Floor for Breach Damages): Disclaimers of indirect or consequential damages in the MSA shall not apply to breaches of Section 4 where direct damages are proven, subject to an aggregate liability cap of twelve (12) times the annual recurring fees (ARR) paid under the applicable Order Form, or $500,000 USD, whichever is greater.

4.5 Named Deviations Requiring Escalation

Any contract containing the following structural deviations must be submitted to the designated internal authority before signature:

1. Government Contractor/Public Sector Exclusions: If a counterparty insists on exempting all materials from protection due to state Freedom of Information Act (FOIA) or public records laws without requiring them to prove statutory exemption, escalation is required to Chief Executive Officer (Arthur Pendelton).
2. Source Code Escrow or Inspection Triggers: If a counterparty demands the right to inspect Northwind source code under a confidentiality framework due to a security incident or bankruptcy contingency, escalation is required to Chief Technology Officer (Marcus Vance).
3. Exemption of Pricing and Product Roadmap: If a counterparty strikes Northwind’s pricing methodology or product roadmap from the definition of Confidential Information, escalation is required to Chief Revenue Officer (Samantha Thorne).

4.6 Worked Examples of Counterparty Language

Acceptable Counterparty Language (Passed by Legal) * *Example 1:* "The Receiving Party may disclose Confidential Information to its contractors and consultants who have a need to know, provided such third parties are bound by written confidentiality terms at least as restrictive as those herein, and the Receiving Party remains responsible for any unauthorized disclosure by such contractors." * *Rationale:* Perfectly aligns with Section 4.1(d) by ensuring flow-down liability and binding third parties. * *Example 2:* "If Receiving Party receives a legal process compelling the disclosure of Confidential Information, Receiving Party shall, to the extent legally permissible, notify Disclosing Party within seven (7) business days and cooperate reasonably, at Disclosing Party's expense, in seeking a protective order." * *Rationale:* Falls within the acceptable fallback window (between 5 and 10 days) and protects Northwind's right to contest disclosure.

Unacceptable Counterparty Language (Rejected by Legal) * *Example 1:* "Confidential Information shall not include any information that is independently developed by Receiving Party's employees, agents, or affiliates who have had access to Disclosing Party's Confidential Information." * *Rationale:* Fatal flaw. If the personnel developing the competing product had access to Northwind's information, independent development is legally compromised. This destroys trade secret protection. * *Example 2:* "Either party may use the other party's name, logo, and high-level project details in marketing materials, press releases, and case studies without prior written consent." * *Rationale:* Marketing rights must be governed strictly by Section 9 (Publicity) of the MSA, not buried in confidentiality clauses, and must always require prior written approval.